EXECUTIVE SUMMARY

1. Introduction

The Municipality of Ballesteros was created on December 18, 1911 thru Executive Order No. 79 and was inaugurated on January 01, 1912. It was named after Father Gregorio Ballesteros, a Filipino priest. The Municipality of Ballesteros is committed to serve its constituents with the mission to attain peace, unity and progress through effective and efficient local government operation and administration that will redound to the sustained delivery of basic services to the people.

The audit covered the accounts and operations of the Municipality of Ballesteros for the year 2019 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, Compliance and Performance Audit were conducted to achieve these audit objectives.

2. Financial Highlights

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2019, were P295,514,118.83, 78,491,316.42 and 217,022,802.41, with an increase of 15.35%, 20.67% and 13.54%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to 119,387,869.54 and 90,225,478.78, which increased by 8.07% and 34.07% respectively from last year's figures.

Particulars	2019	2018	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	295,514,118.83	256,180,881.44	39,333,237.39	15.35%
Liabilities	78,491,316.42	65,043,917.39	13,447,399.03	20.67%
Govt. Equity	217,022,802.41	191,136,964.05	25,885,838.36	13.54%
Financial Performance				
Income	119,387,869.54	110,473,365.79	8,914,503.75	8.07%
Expense	90,225,478.78	67,299,051.57	22,926,427.21	34.07%
Appropriations, Allotments and Obligation				
Appropriations	146,755,707.72	156,381,466.93	(9,625,759.21)	(6.16%)
Allotments	146,755,707.72	156,381,466.93	(9,625,759.21)	(6.16%)
Obligations	92,932,266.06	68,646,337.59	24,285,928.47	35.38%

3. Independent Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the financial statements of the Municipality of Ballesteros, Cagayan as at December 31, 2019.

4. Summary of Audit Observations and Recommendations

The findings and recommendations were discussed with LGU officials and employees. Management comments were incorporated in the report, where appropriate. The significant findings and recommendations are as follows:

1. Accounting and reporting guidelines on local roads asset management embodied in COA Circular No. 2015-008 were not strictly observed by concerned departments, thus the correctness of the balance of Road Networks account of P77,989,141.16 as of December 31, 2019 could not be ascertained.

   To fairly present the book value of the Road Networks account in the Financial Statements of the Municipality, we recommend that the Municipal Mayor direct the:

   1. GSO and the Municipal Engineer to conduct the physical inventory on the Local Road Network to come up with the Inventory Report on the Local Road Network.

   2. GSO and the Municipal Engineer to evaluate the Local Road Inventory Report and reconcile with the accounting records to facilitate the reporting of the municipality's road network system;

   3. Municipal Accountant to adjust the books discrepancies noted;

   4. Municipal Engineer to provide the Municipal Accountant and the GSO-Designate with the complete description and cost segregation of the road components for road project.

2. Due to the failure of the municipal officials to properly plan procurement activities, the Municipality failed to meet the timetable for the execution of the different programs/ projects as per approved Annual Investment Program (AIP). The Municipality did not fully implement the projects identified under the 20% Development Fund for CY 2019 with a total appropriation of P21,903,508.20. Only P13,184,689.50 or 60.19% was utilized for development projects, contrary to Section 5 of DILG-DBM Joint Memorandum Circular No. 2011-1 dated April 13, 2011. Consequently, the desired development outcomes were not substantially attained.

   We recommended that the Local Chief Executive (a) instruct the BAC members and the Municipal Engineer to properly plan and schedule all

procurement activities pertaining to development projects to pave the way for their timely implementation and completion; and (b) ensure that the Municipal Planning and Development Officer and Municipal Engineer regularly monitor the status of project implementation for the immediate enjoyment of projects by intended beneficiaries.

3. Failure of the LGU Ballesteros to effectively utilize its LDRRMF during the year with its low utilization rate of only 26%, exposes the LGU to probable risk of the effects of insufficient disaster preparedness.

   We recommended that Management review and further enhance its disaster preparedness and strengthen its disaster response capabilities by fully implement its LDRRMF Plan and Budget.

4. Minor scalings were observed at the time of inspection on the various concreting of municipal/barangay roads implemented by the municipality indicating defects in the project implementation with a total deficiency amounting to P108,172.50.

   Require the contractors to undertake the necessary repairs through the application of grout (reconmix) in the affected areas to correct the above defects at their own expenses pursuant to Section 62 – Warranty provision of Republic Act 9184, otherwise, the amounts representing the costs of the scalings amounting to P108,172.50 shall be deducted from any claim of the contractors from the municipality.

5. Collections were not deposited intact with the authorized depository bank resulting in undeposited Cash in Treasury balance of P477,807.81 as of October 29, 2019, contrary to Section 33 Chapter 2 of the COA Memorandum No. 2013-004 dated July 9, 2013 and Section 69 (1) Chapter 3, Title II of P.D. 1445.

   We recommended that the Municipal Treasurer deposit intact and regularly her collections of revenues and receipts pursuant to existing regulations to avoid possible loss, misuse or misappropriation of the government funds and establish proper safeguards thereon.

5. Summary of Total Suspensions, Disallowances and Charges as of Year-End

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	116,827.68	-	-	116,827.68	-
Current Year	-	-	-	-	-
Total	**116,827.68**	**-**	**-**	**116,827.68**	**-**
Disallowances					

Prior Years	536,460.27	-	-	536,460.27	-
Current Year	-	-	-	-	-
Total	**536,460.27**	**-**	**-**	**536,460.27**	**-**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the eleven (11) audit recommendations embodied in the previous Annual Audit Report, four (4) were fully implemented, six (6) were partially implemented and the remaining one (1) was not implemented.